- Exchange-traded funds (ETFs) and MFs that have RGESS-eligible securities have also been brought under the RGESS.
- To benefit small investors, investments are allowed in instalments in the year in which tax claims are made.
- The total lock-in period for investments will be three years including an initial blanket lock-in of one year. After the first year, investors will be allowed to trade in the securities.

The broad provisions of the scheme and the income tax benefits under it have already been incorporated as a new *Section-80CCG* of the Income Tax Act 1961, as amended by the Finance Act 2012. The operational guidelines were issued by SEBI on *December 6, 2012*.

CREDIT DEFAULT SWAP (CDS)

CDS is in operation in India since October 2011 – launched in only corporate bonds. The eligible participants are commercial banks, primary dealers, NBFCs, insurance companies and mutual funds.

CDS is a credit derivative transaction in which two parties enter into an agreement, whereby one party (called as the 'protection buyer') pays the other party (called as the 'Protection Seller') periodic payments for the specified life of the agreement. The protection seller makes no payment unless a credit event relating to a pre-determined reference asset occurs. If such an event occurs, it triggers the Protection Seller's settlement obligation, which can be either cash or physical (India follows physical settlement). It means, ***CDS is a credit derivative that can be used to transfer credit risk from the investor exposed to the risk*** (called protection buyer***) to an investor willing to take risk*** (called protection seller).

It operates like an insurance policy. In an insurance policy, the insurance firm pays the loss amount to the insured party. Similarly, the buyer of the CDS – the bank or institution that has invested in a corporate bond issue – seeks to mitigate the losses it may suffer on account of a default by the bond issuer. Credit default swaps allow one party to 'buy' protection from another party for losses that might be incurred as a result of default by a specified reference instrument (a bond issue in India). The 'buyer' of